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Private Credit: Hyperscaler Market Risk Exposure

Key Takeaways

- Private Credit has benefited from the burgeoning demand to fund AI infrastructure in recent years.
- In a short period, there has been a debt surge that may impact how creditworthy hyperscalers are given recession risk.
- We want to examine the hyperscaler impact on private credit and potential concentration risks to private credit funds.
- There are broader risks/rewards for alternative asset management (ALT) firms in financing power, transmission, and AI infrastructure-related areas.
- The leading firms with private credit concentration are **APO**, **ARES**, and **OWL**, while more diversified firms like **BAM**, **BX**, and **KKR** have significant private credit exposure. We see some dispersion on how each ALT firm is positioned for AI-related opportunities and private credit loan exposure.

Positive (+) or Negative (-) Implications
(+) Brookfield Asset Management (BAM)
(-) Apollo Global Management (APO)
(-) Ares Management (ARES)
(-) Blackstone Inc. (BX)
(-) Blue Owl Capital Inc. (OWL)
(-) KKR & Co. Inc. (KKR)

Fundamental Context

We think the unparalleled investments in AI infrastructure may come with credit risks. A hyperscaler is a large-scale cloud service provider that operates massive, globally distributed data centers capable of rapidly scaling computing, storage, and networking resources to meet enormous demand. Some of the core characteristics are a 5,000+ server minimum, 10,000+ square feet of data center space, and the ability to serve millions to even billions of users simultaneously. We further define hyperscalers as having these technical capabilities: (1) elastic scaling to instantly add or reduce resources based on demand; (2) a global footprint with multiple data centers across regions/continents; (3) distributed architecture with up to millions of physical servers networked globally; and (4) multi-tenancy to serve many customers on shared infrastructure.

How should we think of hyperscalers from a credit perspective? Four hyperscalers control 60%+ of global AI capital expenditures: namely, Amazon, Google/Alphabet, Meta, and Microsoft. Amazon has Amazon Web Services (AWS) with 30% global market share. Microsoft Azure holds 30% global market share, and Google Cloud Platform (GCP) has 12% global market share. Sometimes Oracle Cloud's database/enterprise applications are included among the hyperscalers, but the company's profile is different. So, there is concentration risk (and in Anthropic's case, structural risk) if there is any pivot away from a massive buildout or if massive overcapacity concerns arise. A second-tier group investing heavily in AI infrastructure includes other cloud providers like IBM Cloud, with its enterprise/hybrid cloud focus, and Alibaba Cloud and Tencent Cloud, which are focused on Asia-Pacific dominance.

Hyperscalers should have lower credit risk. We believe each company has diversified internal demand and cloud services, internal platforms to generate revenue, and a multi-decade track record of data center operations. We classify Meta as a hyperscaler, even though it is not a leading cloud center provider, because the company has a massive global data center infrastructure; serves 3 billion+ users across Facebook, Instagram, and WhatsApp; is building internal infrastructure with Llama models and custom MTIA chips; is investing $115 billion to $135 billion in capital spending in 2026; and is committed to multiple gigabit-scale facilities like the Prometheus, 1 GW, Hyperion, and 5 GW AI data centers. So, the four global hyperscalers have capex plans to support their own trillion-dollar businesses, cloud businesses, and revenue to cushion capex risk.

From a private credit perspective, we believe there is risk stratification depending on classification accuracy. The emerging/specialized hyperscaler market is estimated to be anywhere from 17% to 30% of the expected total addressable market in 2026. This second-tier group may see faster growth due to regional advantages (Alibaba Cloud and Tencent Cloud in China), and niche enterprise positioning (IBM for hybrid cloud platform). The cash flows of Alibaba Group and Tencent Cloud demonstrate their self-funded status, while IBM has investment-grade corporate bonds as a primary funding source and selective private credit for specific projects. Oracle has mostly a single-tenant model with OpenAI, which is relying on Microsoft Azure and Oracle Cloud. This includes a $300 billion commitment to Oracle for leased AI infrastructure, not building or owning it. We think private credit lenders to Oracle may be taking on added risks with the future leased rents coming from OpenAI future revenues. We see higher execution risk for Oracle's customer concentration with OpenAI using an infrastructure-for-hire model. OpenAI is not yet a profitable company in 2026.

Table 1: Illustration of Hyperscaler Capex and Private Credit Exposure*

Hyperscaler	Total Capex	Private Credit Portions	% Private Credit
Meta	$115B-$135B	$50B-$60B	40%-45%
Amazon	$150B-$200B	$40B-$50B	25%-27%
Microsoft	$110B-$120B	$30B-$40B	28%-33%
Google/Alphabet	$175B-$185B	$25B-$35B	14%-19%
Oracle	$50B-$60B	$35B-$45B	60%-75%
Total	$600B-$700B	$180B-$230B	38%-41%

Source: CFRA. *2026 estimates.

Hyperscaler capex and private credit portions have been changing frequently, as seen in Table 1. Private credit loans vary by size of deal and loan purpose. Mega-deals greater than $10 billion in private credit include Meta or Oracle infrastructure programs, syndicated across multiple private credit funds, and three- to five-year deployment horizons. Large deals ($1 billion-$10 billion) include mostly regional data center clusters, power plant buildouts, or GPU acquisition facilities. And finally, mid-market deals ($100 million-$1 billion) include single-site data centers, behind-the-meter power solutions, or transmission infrastructure upgrades.

Figure 1: Private Credit Markets – Loan Structure Characteristics, Types, and Deal Sizes

Direct Corporate Loans

- $80B-$100B market estimate in 2026
- Senior secured facilities
- Term loans to fund capex
- Traditional bank syndications + private credit clubs

Off-Balance Sheet Special Purpose Vehicle (SPV) and Joint Venture Financing

- $150B-$200B market estimate in 2026
- Senior secured facilities
- Term loans to fund capex
- Traditional bank syndications + private credit clubs

Power & Transmission Infrastructure

- $50B-$70B market estimate in 2026
- Behind-the-meter generation
- Grid interconnection upgrade costs
- Dedicated transmission lines

Equipment Financing

- $30B-$50B market estimate in 2026
- GPU purchase financing
- Networking equipment
- Cooling/electrical systems

Source: CFRA.

What is 2026 pricing for private credit loans on AI-financed deals? We know investment-grade hyperscalers (Alphabet, Amazon, etc.) will receive better credit terms than lower-rated, higher-risk companies borrowing to build AI infrastructure (OpenAI-backed).

Table 2: Pricing for Private Credit Loans

Private Credit Loan Terms	Investment Grade Hyperscalers	Lower-Rated, Higher-Risk Borrowers
Spreads	+150-250 basis points over SOFR	+400-600 basis points over SOFR
Terms	7-15 years	5-10 years
Leverage	50%-60% loan-to-value	60%-70% loan-to-value
Equity required	Usually not required	Equity co-investment required

Source: CFRA.

We see some key trends that may impact private credit volumes. Based on our observations in 2025, we think accelerating factors affecting private credit volumes in 2026 may be if banks retreat when they cannot handle $50 billion-$100 billion single-project scale loans. Private credit can deploy loans faster than banks or public financing (in six to 12 months versus three to five years). We know hyperscalers want to keep massive debt off their balance sheet, which private credit can do effectively in structuring the loan. Also, private credit offers flexible loan structures that can be on bespoke terms, matching irregular cash flows.

What factors may prevent hyperscalers from accessing the private credit market? One answer is concentration risk, whereby the ALT firms may limit hyperscale loan exposure to 10%-15% of their portfolios. Furthermore, technological obsolescence may create hesitation among the ALT firms, as some areas such as GPUs have only five to seven years' useful life. Private credit firms may also balk at the execution risk inherent to a project with a three- to four-year development period, which may have multiple potential failure points. Finally, we may see increased federal regulatory oversight on the private credit market given concerns around "shadow borrowing."

We think there are some other broader questions and risks to attend to, such as whether ALT firms can prove an ROI on $2 trillion cumulative capex by hyperscalers, the timeliness of power grid capacity expansion, continued investor appetite despite concentration risks, and the possibility of a black swan event with a major hyperscaler in trouble (especially Oracle/OpenAI). In short, it seems as if the "easy money" phase of hyperscaler lending is over, and more selectivity is required.

The capital expenditure plans for each of the hyperscaler companies seeking funding from private credit lenders have risen sizably in the last 12 months. We think hyperscalers are seeing a structural shift to no longer be asset-light growth franchises and instead become capital-intensive infrastructure businesses, where capex and free cash flow (FCF) receive more investor attention. Some of the hyperscalers may have negative FCF in 2027 and 2028, which is a stark contrast to these firms being cash flow machines in the past decade. At least for 2026, we think all hyperscalers will easily maintain their investment-grade ratings, keep their strong liquidity buffers intact, and generate significant cash from operations through their operating businesses. Private credit lenders like BAM primarily focus on power/transmission for AI infrastructure rather than bear concentration risk directly with hyperscaler lending, in our view.

A recession could hurt the operating fundamentals of the private credit borrowers, thereby negatively affecting their operating cash flow and the free cash flow that supports credit payments. A bear market could decrease the market value of debt instruments or investments held in private credit funds or significantly reduce market liquidity. Given geopolitical risks such as the Iran-U.S. conflict, we have seen economists raise the probability of a U.S. recession to 20%-30%, with a potential global recession in the next 12 months. Thus, we have mapped out what we think the impact will be on private credit AI infrastructure loans. An AI-specific crisis amid a recession scenario may be the most harmful, whereby the underlying AI infrastructure may be worth less than first planned with sizable capital investments.

"History does not repeat itself, but it rhymes." In the base-case recession, the telecom bubble (2000-2002) with a $500 billion buildout was triggered by the dot-com crash and a mild 2001 recession that led to the bankruptcies of WorldCom, Global Crossing, and Adelphia. Private credit/debt recovery was 20-40 cents on the dollar. The Great Financial Crisis led to a severe recession in 2008-2009, when there was a $50 billion traditional data center buildout and massive overcapacity with greater than 30% vacancy rates. REIT stocks like Digital Realty and Equinix collapsed 60%-80%, and recovery took three to four years.

Table 3: Impact on AI Infrastructure Loans with Recession – Scenario Analysis

Economic Indicators	Base Case Recession (Mild, 2001-style)	Severe Recession (2008-style)	AI-Specific Crisis and Recession
GDP contraction	-1% to -2%	-4% to -5%	AI monetization fails with economic downturn
Duration	6-9 months	18 months	Tech shifts away from current architecture
Private credit loan AI infrastructure losses	5%-10% of AUM	15%-25% of AUM	25%-40% of AUM
Loan recovery rates	60-80 cents on dollar	40-60 cents on dollar	20-50 cents on dollar
Timeline for resolution	18-24 months to resolution	3-5 years to resolution	Potential sizable loss outcomes possible

Source: CFRA.

The worst-case outcome of a severe recession could be the collapse of OpenAI. In such a scenario, Oracle may have a $60 billion annual revenue commitment shortfall and could be downgraded to junk status. Private credit fund gate redemptions may break with investor panic on a failed AI-specific crisis. Banks would then likely pull funding credit lines to the ALT firms or BDC funds that represent private credit. Another risk pertains to GPU/compute hardware witnessing a rapid obsolescence of less than five-seven years' expected life. Data center collateral recovery could subsequently face a doomsday scenario with loan recovery rates of 10-30 cents on the dollar.

Table 4: Private Credit Portfolio Has a Recession Correlation Problem

Exposure Type	% of Portfolio	Recession Correlation
AI infrastructure loans	10%-15%	1.0 (all move together)
Software company loans	15%-20%	0.9 (AI disruption + recession)
Hyperscaler corporate debt	5%-10%	0.95 (interconnected)
Total AI sensitivity	30%-45%	Near-perfect correlation

Source: CFRA.

The disruption thesis has been widely discussed, but we think doomsday outcomes are unlikely. Central to the bear case is the risk that OpenAI will be unable to realize positive cash flows in 2028-2030 and repay its creditors. Asset specificity can be viewed as risky to data centers built to OpenAI specs, which may have low salvage value. We think OpenAI (and Oracle as its AI hyperscaler) see execution risk to their three- to four-year build timeline. In severe recessions, we could see forced capacity curtailments and stranded AI infrastructure. Private credit lenders could end up holding assets that cannot operate or have low resale value.

Table 5: Private Credit Managers (ALT Firms) See Share Price Volatility and Declines

ALT Manager	Ticker	Share Price YTD (as of March 24, 2026)	Private Credit AUM ($ billions)
Apollo Global Mgt.	APO	-23.7%	749
Ares Management	ARES	-33.7%	407
Blackstone	BX	-29.1%	443
Blue Owl Capital Inc.	OWL	-39.2%	158
Brookfield Asset Mgt.	BAM	-17.8%	363
KKR & Co, Inc.	KKR	-28.7%	276
iShares Software ETF	IGV	-24.0%	N/A
Nasdaq QQQ	QQQ	-4.8%	N/A
S&P 500	SPY	-4.2%	N/A

Source: CFRA, share prices as of March 24, 2026.

Risk Factors

Private credit faces many risks that range from their fund portfolios to investor redemptions. The broader risks are a major downturn in the investment cycle, lower fundraising, poor fund performance results, and difficulty valuing fund assets.

Recession could hurt the operating fundamentals of the corporate borrowers, thereby negatively affecting operating cash flow that supports credit payments. A bear market could decrease the market value of debt instruments or investments held in private credit funds or significantly reduce market liquidity. Given geopolitical risks such as the Iran-U.S. conflict, we have seen economists raise the probability of a U.S. recession and perhaps a global recession in the next six months.

Company Implications

Ares Management Corporation (ARES 106 ****) has limited exposure to direct hyperscaler loans. The firm announced a $2.4 billion debt facility for Vantage Data Centers in Northern Virginia with ARES holding $1.6 billion of the commitment and funding $330 million at closing. The end customers of this project are hyperscalers, and the portfolio comprises 17 campuses with 4+ GW data capacity across North America. It appears ARES is positioned to earn private credit spreads on lower-rated but well-secured borrowers rather than the investment grade hyperscalers. Our target price is $160, using a forward P/E of 25.0x compared to the five-year historical average at 27.0x.

Apollo Global Management (APO 111 ****) has the largest private credit franchise based on AUM. The disclosed private credit transactions are with all four hyperscalers. APO's infrastructure financing with Meta is structured as off balance sheet SPVs for data centers. Estimated APO's share is $15 billion-$20 billion in financing in the last 18 months. The estimated $8 billion-$12 billion financing for Amazon AWS infrastructure is for behind-the-meter power solutions and data center facilities, structured as project finance with AWS as the anchor tenant. Similar deals are with the Microsoft/OpenAI ecosystem and Alphabet/Google Cloud. Our target price is $165, which reflects a forward P/E of 17.4x, compared to the three-year historical average of 16.3x with lower historical growth rates.

Blackstone Inc. (BX 108 *****) has not announced any recent private credit financing with hyperscalers in size. The firm does invest directly in infrastructure, including data centers. BX has one of the highest concentrations of technology private credit loans with its BCRED portfolio, a business development company (BDC). Our target price is $185, which is a narrower equity risk premium and a forward P/E of 27.6x on our 2026 distributable earnings (DE) estimate vs. the five-year historical average of 25.0x.

Brookfield Asset Management Ltd. (BAM 43 ****) is one of the world's largest ALT firms. A $100 billion AI infrastructure program was announced in 2025 to provide private credit to AI companies (not hyperscalers directly). BAM is mostly focused on long-life, high-quality real assets with cash flows under enterprise customer contracts. The firm has several businesses in credit strategies: 1) Oaktree, which BAM acquired 100% of in 2025 and invests in distressed debt, high-yield bonds, convertible bonds, European credit, and strategic credit; 2) Brookfield Credit, which invests or lends in infrastructure debt, real estate debt, asset-backed finance, and opportunistic credit; and 3) Brookfield Lending Partners, which directly lends to Brookfield's private equity companies that are mostly industrials/infrastructure. Our target price is $60, applying forward P/E of 33.3x compared to the three-year historical average at 30.2x.

KKR & Co. Inc. (KKR 91 ****) is focused on financing the AI infrastructure buildout (data centers, power generation, equipment) that serves hyperscalers, with private credit as one capability. We are seeing a more diversified effort to lend and invest in power and transmission to support the AI buildout. KKR is generally seeking to do private credit loans to infrastructure developers, not directly to the hyperscalers. Our target price is $130, using a narrower equity risk premium to capture worries about future fund performance and a forward P/E of 19.0x, in line with the five-year historical average.

Blue Owl Capital Inc. (OWL 9 ****) closed its largest private credit transaction with Meta in October 2025. Total financing is $30 billion that includes $27 billion in debt and $2.5 billion in equity. The Meta Hyperion Data Center in Louisiana will be owned 20% by Meta and 80% by OWL. The debt rating is A+, and the maturity date is 2049 for a fully amortized loan. Completion is expected by 2029 of 4 million sq. ft. and 2-5 GW power capacity. Our target price is $20, using a forward P/E of 20.0x, compared to the five-year historical average of 22.2x.

Relative Performance

Source: CFRA, S&P Global Market Intelligence.

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